

A New Value Proposition for the AMA



Outline

- Current Challenges
 - AMA's Role in Healthcare Reform
 - Needs of the providers, practitioners, and patients
 - Measuring value and enabling value throughout healthcare
 - Engaging providers, practitioners, and patients
 - Expanding the reach and membership of the AMA
 - Moving towards a new business model
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Current Challenges

- Eroding member base.
- Aging membership.
- Decline profits.
- Not perceived as an innovation leader.
- Healthcare is fractionalized across the continuum of care.
- Healthcare reform is best driven by providers & practitioners and not the government.
- Need for clear leadership to drive reform, innovation, and unification across the healthcare continuum.

AMA's Role in Healthcare Reform

- Still a relevant voice that should be heard by the government.
- The stakeholders are looking for answers:
 - Practitioners are worried about quality, timeliness, and effort of care
 - Providers are worried about loss of control and revenue
 - Patients are worried about quality of care, loss of control, and cost
- Opportunity for unifying leadership to provide guidance and direction for change (much of which will be disruptive).
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs in the US and across the world.
- Opportunity to create a “system” of healthcare guided by consistent value-driven metrics (outcomes).

Needs of the Providers

- To get pharmaceutical and device manufacturers, insurers, and healthcare suppliers to become aligned, unified and collaboratively by focusing on a consistent set of outcomes.
- To increase collaboration NOT competition.
- To understand how to identify, measure and deliver value throughout the healthcare value network.
- To move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public).

Needs of the Practitioners

- To improve diagnostic capabilities in a cost effective manner.
- To improve clinical processes.
- To provide consistent levels of quality.
- To move beyond service, where they can deliver a positive experience.
- To be able to reliably measure value for their patients, for themselves as individual practitioners , and for their practices.

Needs of the Patients

- To have affordable healthcare.
- To have attainable healthcare.
- To have more accessible healthcare.
- To have consistent levels of quality (results).
- To receive a total healthcare experience:
 - Ensure their functional outcomes met.
 - Ensure their emotional outcomes met.
 - Ensure their outcomes are met across the continuum of care (beyond the hospital, into clinics, and into the home).

AMA's Opportunity to enable Value

- Innovate current business model to address the needs of the providers, practitioners, and the patients (3Ps).
- Use a disciplined process to capture and assess the needs of the 3Ps in a quantifiable manner.
- Provide a centralized repository of unbiased needs of the 3Ps to identify opportunities for measuring & creating value in US healthcare.
- License the information in a repository to the 3Ps to build a self-sustaining model for improving value delivery in healthcare
- Guide (and possibly drive) innovation in healthcare to create new value while reducing the overall costs for the 3Ps.

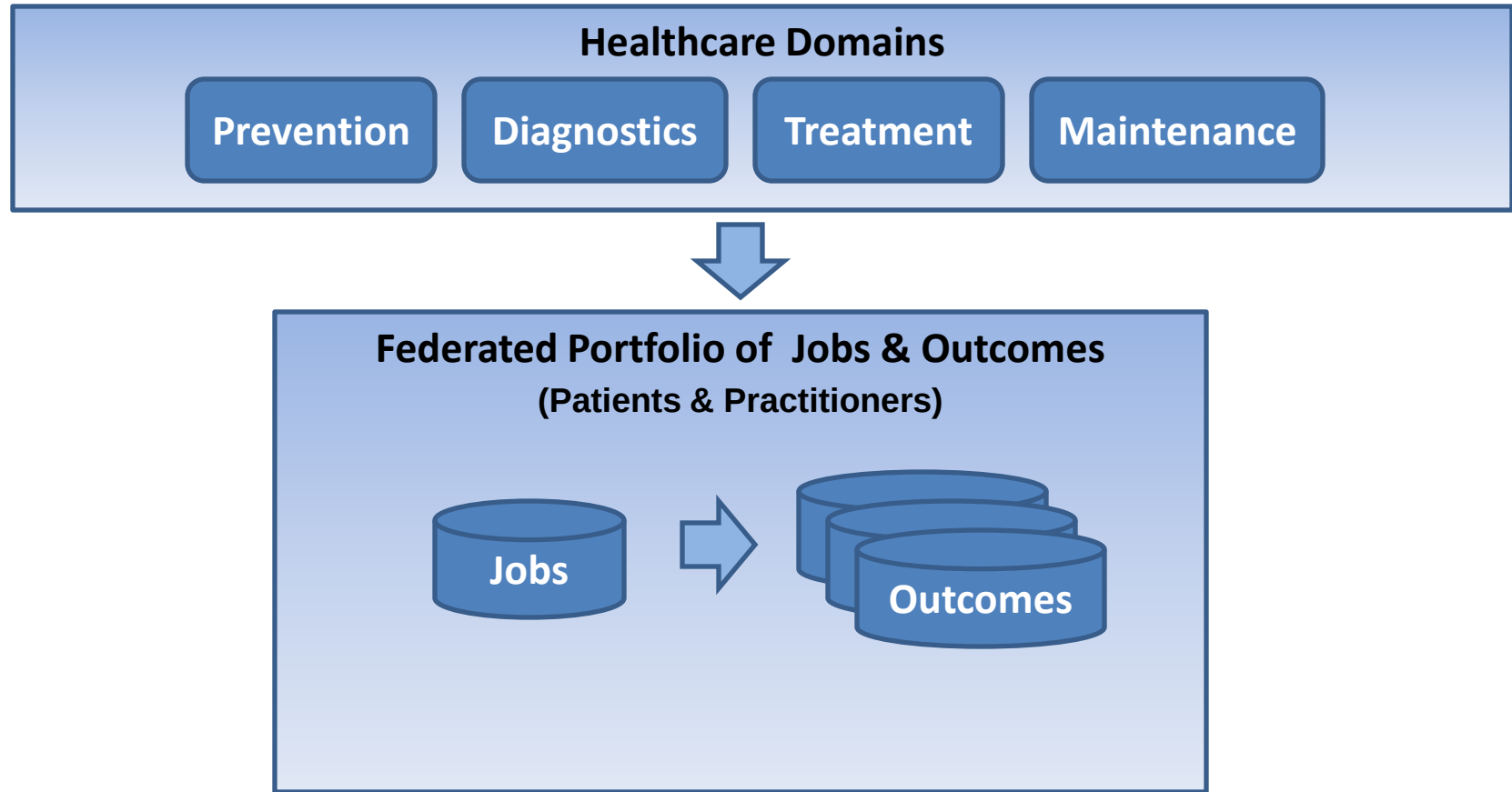
AMA at the forefront of Healthcare

- Defining & delivering the prescription for healthcare reform should come from within healthcare (not the government).
- Creating a vision for a new healthcare system by forming a collaborative model with healthcare advocacy organizations, institutions, providers and practitioners.
- Providing the practitioners with a consistent set of benchmarks for measuring the value they deliver to patients.
- Driving open innovation amongst the providers to create a more efficient process for guiding and creating value.
- Working collaboratively with the government to guide more efficient and effective funding that drives healthcare reform.

Moving from Assumptions to Implementation

- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain.
- Build a portfolio of unmet needs (opportunities) for improving value delivery to patients and practitioners.
- Establish a prioritization model to direct resources in an efficient manner.
- Create an open innovation framework using the opportunities to generate ideas that can address the most important (prioritized) unmet needs.
- Establish a shared revenue model as part of a collaborative to address unmet needs.

Value Measurement Platform for Healthcare

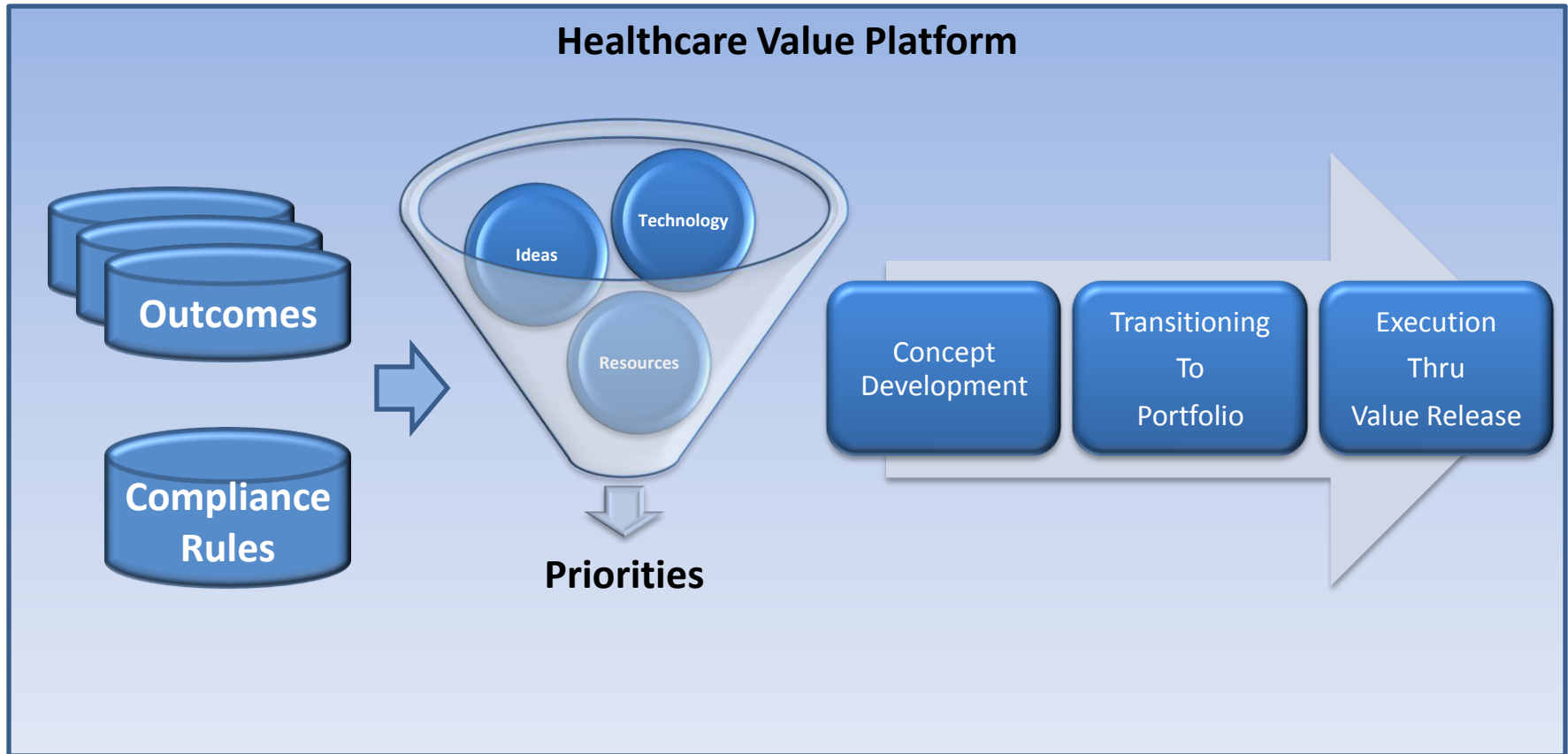


Value is measured through Outcomes => Outcomes are used to enable value

Measuring Value for Healthcare

- Build a portfolio of jobs & outcomes:
 - For measuring value
 - For capturing customer* needs
 - For guiding innovation
- * The focus is on Patients and Providers in the Healthcare Value Network

Enabling Value for Healthcare



Efficient value delivery for transforming healthcare and driving value

Enabling Value for Healthcare

- Build an innovation portfolio to drive value by:
 - Creating a portfolio of outcomes that can be used by the 3 Ps to measure value.
 - Creating a portfolio of opportunities (IP)*.
 - Leveraging open innovation to create a portfolio of ideas to address unmet needs.
 - Engaging innovators in a collaborative effort to create new products and services to solve the most important needs in healthcare.
 - Aligning sustainable value delivery within a system of healthcare.

Engaging Providers & Innovators

- Identifying priorities for healthcare upfront can:
 - Reduce the risks for investments in new products and services.
 - Focus 3rd party resources more efficiently.
 - Reduce the costs associated with investment planning.
 - Reduce the cycle time for new products & services addressing the most important needs in healthcare.

Engaging Providers & Innovators

- Using a managed IP model will:
 - Encourage open innovation to leverage mindshare across all disciplines to solve the healthcare needs.
 - Promote collaboration instead of competition for new products & services to:
 - Bring new efficiencies to research and development.
 - Reduce the costs and cycle time.
 - Level the playing field of intellectual capital (IC) amongst providers and innovators.

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide practitioners with a consistent set of metrics for measuring value with precision:
 - Covering the realm of healthcare locations (hospitals, clinics, alternate site, and home)
 - Covering the breadth of healthcare practitioners (physicians, nurses, pharmacists, specialists, etc.)
 - Covering the flow of patients and the care they receive across the continuum of healthcare
 - Provide the AMA with a consistent benchmark for evaluating healthcare products and services

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide patients with a consistent benchmark for selecting products and services (including the practitioners) to meet their healthcare needs.
 - Provide patients with consistent outcomes across the healthcare domain and throughout the continuum of care (from prevention to support).

Expanding the AMA membership model

- Access to the outcomes and intellectual property will:
 - Draw providers to become members where they can leverage their intellectual capital to deliver more efficient and effective value to practitioners and patients.
 - Draw patients to become members where they can review value-driven measures about providers, practitioners, products and services to make informed choices about their healthcare needs.

Expanding the AMA membership model

- Access to the outcomes and intellectual property will:
 - Draw practitioners across the healthcare domain where they can review select the products and services that help them deliver the best care for their patients.
 - Draw membership from private and public sectors who are interested leveraging the information to optimize care for their employees.

An Expanded Membership Model

Guiding the Providers to deliver value to Patients & Practitioners

Guiding Practitioners to measure and optimize the value they deliver to Patients

Providing Patients with a way to measure the value they should be receiving for healthcare throughout the continuum

Providers

(Drugs, Devices, Information)

Practitioners

(Physicians, Nurses, Caretakers)

Patients

(Hospitals, Alt. Sites, Home)

AMA

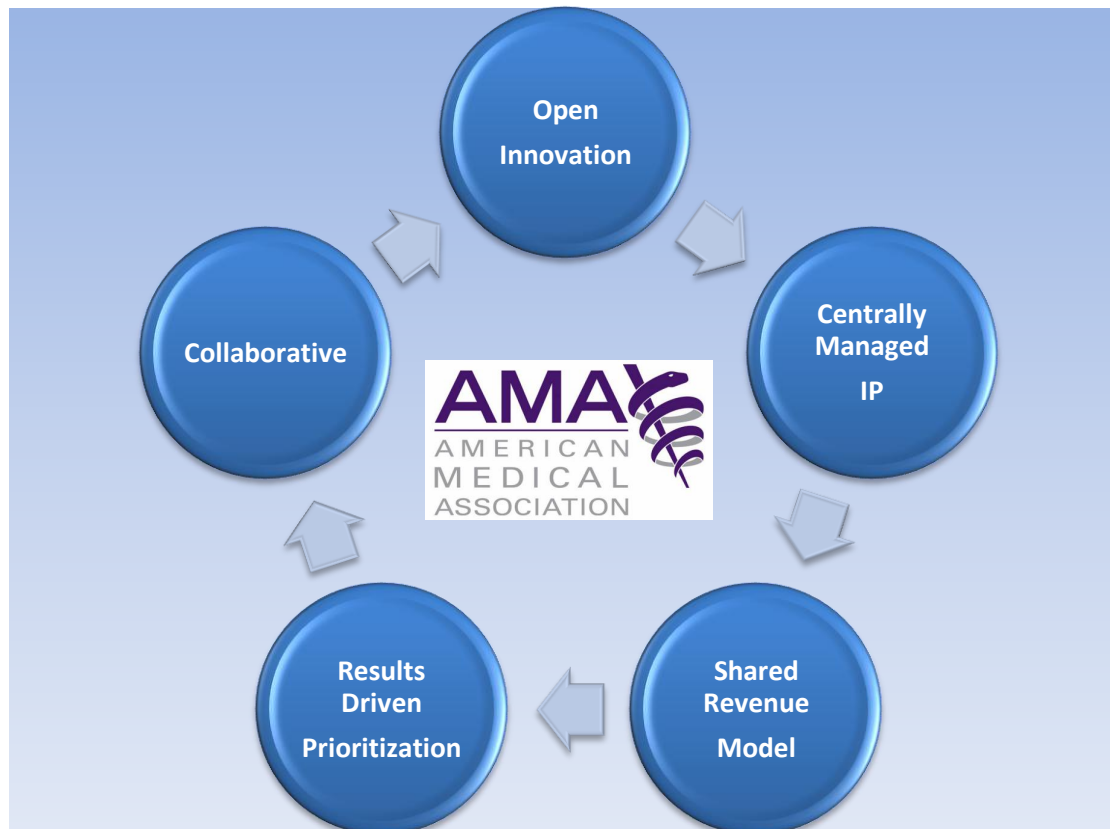
Reducing Costs & Driving Value

- Today...
 - Every company creates value based on their own perceived understanding of customer* needs.
- Tomorrow...
 - The AMA can provide a beacon of leadership to:
 - Understand customer needs throughout healthcare
 - Guide providers to build the right products & services
 - Deliver value to customers* throughout the healthcare continuum

*** Practitioners & Patients**

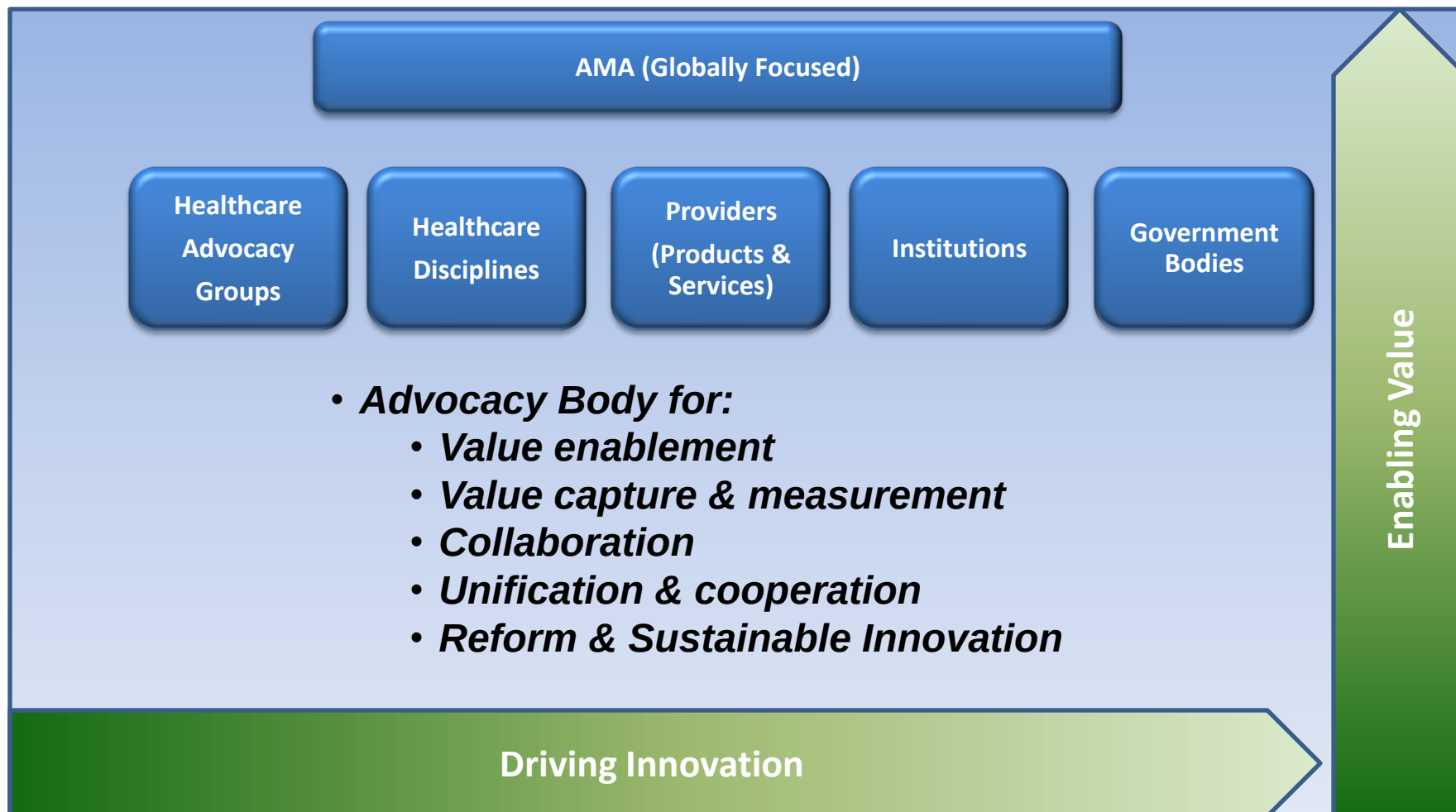
A New Business Model for Creating Value

- Provides new value creation
- Repositioned for leading healthcare change
- Relevant to all Providers, Practitioners, and Patients
- Provides thought leadership for guiding change and innovation



- Orchestrates a unified value network for delivering efficient, affordable, and accessible healthcare to meet the unmet needs of customers
- Ensures value can be measured, improved, and sustained

Positioning the AMA to Lead Healthcare Reform



Thank You

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